

PLAY



FUTURE FOCUS

- 1 AI INTEGRATION FOR RISK MITIGATION:** Insurers are looking to embrace AI and data analytics for better risk assessment, fraud detection, and personalised pricing strategies
- 2 INSURTECH DISRUPTION:** Insurtech firms may continue to disrupt the market by addressing gaps in health coverage through innovative technology
- 3 CUSTOMER-CENTRICITY:** Insurers are moving towards customisation, tailoring policies to individual preferences and behaviour
- 4 CLIMATE CHANGE COVERAGE:** There could be an increase in demand for insurance products covering climate risks and natural disasters
- 5 CYBER INSURANCE:** With an increase in cyber threats, there's a rising demand for cybersecurity insurance to shield businesses and individuals from financial losses

Life also means an expanded network of distributors, making insurance accessible to a larger portion of the country. This is much needed, considering the very low penetration of insurance in India. According to the Insurance Regulatory and Development Authority of India (Irdai), insurance penetration was just 4% in FY23, a minor dip from 4.2% in FY22. “Low insurance penetration and huge protection gap stemming from low awareness around insurance is one of the biggest challenges that the industry is facing. There is a need to create a long-term approach towards this product category in the minds of customers,” says Vibha Padalkar, MD & CEO of HDFC Life.

Tapan Singhel, MD & CEO of Bajaj Allianz General Insurance Company, agrees with this assessment. “I’ve consistently advocated for India to have over 1,000 insurers to cater to our country’s population, aligning with the practices of other developed countries that boast a similar abundance in the insurance industry with a much smaller population. This surge in competition is set to elevate service standards, leverage cutting-edge technology to reduce costs, and ensure customer satisfaction,” he says.

AI AND DATA ANALYTICS

Foremost among the changes reshaping the industry is the increased use of AI and data analytics. Insurers have embraced these technologies to enhance risk assessment, detect fraud, and offer personalised pricing. Besides, newer technologies like facial recognition are also improving processing, like with facial underwriting.

“AI will analyse real-time data to personalise premiums based on individual risk profiles and behav-